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China Economics Mid-Year Outlook

Upgrading Growth to Reflect AI and Energy Capex Super-cycle

Strong exports plus AI and green capex lift our 2026e real GDP growth 0.1ppt, to 4.8%; our GDP deflator rises 0.3ppt, to 0.5%. But reflation is narrow: domestic consumption lags amid a soft labor market and ongoing property adjustments. Policy is on cruise control – additional easing is unlikely.

Exports driving growth amid AI and energy capex super-cycle: We lift our 2026 and 2027 real GDP growth forecasts 0.1ppt each, to 4.8% and 4.7%. Exports lead – China's supply chain resilience enables incremental export market share gains. The economy is also relatively insulated from the oil shock, supported by a more balanced energy mix and strategic reserves. The Middle East conflict is accelerating green transition demand that plays to China's renewable supply chain. Domestic demand still lags: consumption is constrained by a soft labor market and ongoing property adjustment, though investment is accelerating modestly. Infrastructure is supported by quasi-fiscal tools, manufacturing capex is underpinned by AI and exports, and housing is becoming marginally less of a drag.

Inflation is rising but reflation is narrow: We see higher energy costs and demand tied to AI and the green transition lifting PPI to 1.5% in 2026, but pass-through to core consumer prices remains limited – weak domestic demand and a soft labor market constrain pricing power. Headline CPI should average 0.8%Y, with core CPI at 1.1%Y on a shallow moderating path. We raise our GDP deflator forecast 0.3ppt, to 0.5%. Strong export volumes provide support, though terms of trade losses from higher commodity import prices keep it below headline inflation. As energy effects fade, headline inflation should soften into 2027.

Policy on cruise control: Strong exports reduce the urgency for stimulus. We remove our calls for 2H fiscal top-ups and additional monetary easing. Instead, we see a flat augmented deficit; the PBoC will rely on liquidity operations and targeted credit tools, not rate cuts. The Middle East conflict may reinforce supply-side priorities on energy security and tech self-sufficiency, with rebalancing of consumption proceeding gradually. On RMB, we revise year-end USDCNY to 6.75 (from 7.00), and see a near-term shift toward 6.70 as possible, given growth outperformance and a softer USD as risk aversion fades. But we think the PBoC remains mindful of soft domestic prices. It is unlikely to use currency strength to address growth imbalances.

Risks hinge on external demand and domestic policy direction: Stronger global growth would further boost exports, giving room for economic rebalancing policies. Conversely, a demand-destructive oil shock would hit mainly via weaker exports, compressing margins, lowering capacity utilization, and renewing deflationary pressures. Cyclical easing may step up, but policy mix would remain supply-centric.

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Exhibit 1 : Forecast summary table

	2024	2025	2026E	2027E
GDP Nominal %, YoY	4.2	4.0	5.4	5.1
GDP Real %, YoY	5.0	5.0	4.8	4.7
Household Consumption	5.3	4.5	3.7	4.0
Government Consumption	1.4	4.9	4.5	4.0
Gross Capital Formation	2.9	2.0	3.5	2.8
Goods and Service Exports	15.9	10.8	6.6	8.9
Goods and Service Imports	10.3	2.4	3.5	3.9
Contribution to GDP, ppts				
Household Consumption	2.1	1.8	1.5	1.6
Government Consumption	0.2	0.8	0.7	0.7
Gross Capital Formation	1.1	0.8	1.3	1.0
Net Exports	1.5	1.6	1.3	1.5
Inflation, YoY%				
GDP Deflator	-0.8	-0.9	0.5	0.3
CPI	0.2	0.1	0.8	0.6
Core CPI	0.5	0.8	1.1	0.8
PPI	-2.2	-2.6	1.5	-0.4
Policy				
7-day Reverse Repo Rate [^]	1.50	1.40	1.40	1.40
Augmented Fiscal Deficit [^] , % of GDP	-11.1	-11.7	-11.7	-11.7
USD/CNY [^]	7.30	6.99	6.75	6.75

Source: CEIC, Morgan Stanley Research Estimates (E) # General fiscal balance + off-budget quasi fiscal balance (including LGFV debt, net land sales revenue, and policy bank supports). [^]End of Period.

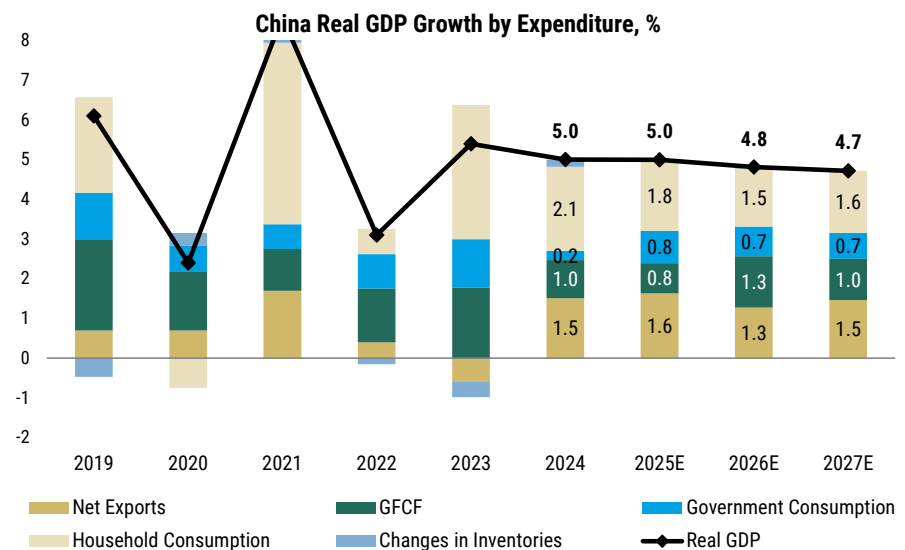
For important disclosures, refer to the Disclosure Section, located at the end of this report.

A Two-Speed Economy, Stable in Aggregate

China's economy is running on its exports engine. We lift our 2026 real GDP growth forecast 0.1ppt, to 4.8%, with the GDP deflator raised 0.3ppt, to 0.5%. Structural tailwinds from AI and energy transition, along with supply chain resilience culminate in strong exports, largely offsetting the drag from higher oil prices.

But the economy remains distinctly two-speed: private consumption growth is slowing, while investment is policy-driven and mixed. Infrastructure is accelerating with quasi-fiscal support, manufacturing capex is diverging sharply across sectors, and property remains in contraction, though the drag is incrementally milder.

Exhibit 2: GDP expenditure breakdown



Source: NBS, Morgan Stanley Research (E) estimates

Exports anchor cyclical growth momentum

We forecast China's goods export growth at 10%Y in nominal terms and 9%Y in real terms in 2026. Net exports should contribute ~1.3ppt to real GDP growth in 2026 – down slightly from 1.6ppt in 2025 owing to a terms of trade shock, but remaining the key growth driver.

- Near term – market share gain largely offsets oil shock:** On an annualized basis, we think China's global export market share gains could approach the upper end of our previously estimated 0.3-0.9ppt range, concentrated in the "new three" (solar, batteries, EVs), electrical capital goods (including power equipment), electronics and AI-related categories, and select basic materials. Even if global GDP growth may slow 0.5ppt in 2Q26 in response to the energy shock – implying roughly a 1ppt slowdown in global trade growth – share gains alone could bring an additional 4-5ppt of export growth. The April PMI new export orders index rebounded to 50.3, the highest in recent years, reflecting strong substitution demand from overseas buyers as supply elsewhere is less insulated from the oil shock.

- **Structural driver #1 – the global AI super-cycle:** With the semiconductor market projected to surpass US\$1trn in 2026 and broadening deployment of agentic AI, China's deep electronics supply chain is a direct beneficiary. AI chip localization is accelerating, and Chinese capital goods companies are gaining share in global AI infrastructure.
- **Structural driver #2 – energy transition:** The Middle East conflict has likely accelerated global demand for renewables and power equipment, and China controls over 80% of key solar manufacturing stages. Combined exports of solar, batteries, and EVs surged 70% YoY in March, to a record US\$21.9bn.

Why export strength may translate into narrower improvement in job market than in previous cycles

The demand arithmetic is demanding: Housing and related sectors are still a drag on nominal GDP [of roughly 2ppt this year](#). With exports at ~15% of GDP on a value-added basis, fully offsetting this drag alone would require sustained nominal export growth of 14-15% – a bar China has rarely cleared in recent years. Exports are clearly doing the heavy lifting, but the math shows that the hole they need to fill is exceptionally large.

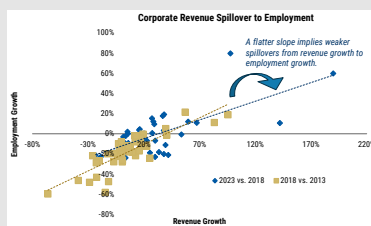
The employment content of today's export dollar is lower than in previous cycles: China's export mix has shifted decisively up the value chain - toward EVs, ships, semiconductors, and power equipment – sectors that are more capital-intensive and automated. This means that each incremental dollar of export growth generates fewer jobs than it used to.

Overcapacity in the broader manufacturing sector means firms will raise utilization before headcount: Years of rapid investment in 2022–24 have left significant excess capacity across much of the manufacturing base. As export orders pick up, the natural corporate response is to run existing lines harder—not to expand capex, particularly under the anti-involution policy guidance. Job gains at the extensive margin only materialize once capacity utilization tightens meaningfully, which requires a strong and sustained export cycle beyond a few quarters.

That said, wage growth in select sectors could accelerate, supporting aggregate income: Export strength and profitability improvement are concentrated in a handful of high-value sectors populated by skilled labor. Wage growth in these pockets may accelerate even as the broader labor market remains soft, supporting aggregate wage growth. But this is a narrow, segmented improvement, not the broad-based income recovery that would move the needle on aggregate consumption.

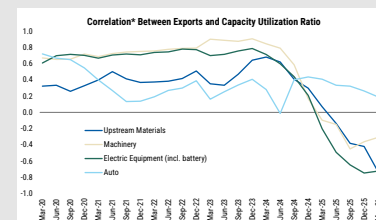
Bottom line: Exports are helping, but the labor market arithmetic has structurally changed. The bar for a full offset via exports is high, and overcapacity means that transmission works with a longer lag. This is why the improvement in the job market is likely to remain narrower and slower than in previous export-driven cycles.

Exhibit 3: The spillover from profits to employment growth is also weakening as the industrial sector becomes more capital intensive and automated



Source: NBS, Economic Census, Morgan Stanley Research

Exhibit 4: Reduced transmission effect of export strength to capex given pervasive excess capacity problems



Source: NBS, Morgan Stanley Research. *3-year rolling correlation

Domestic demand is still lagging

Consumption remains a laggard in China's growth mix, constrained by a soft labor market: We forecast private consumption growth of 3.7% in 2026, down from 4.5% in 2025 – below headline GDP growth – implying that consumption's share of growth continues to underwhelm relative to exports.

- **Labor market slack is the key binding constraint:** The urban surveyed unemployment rate rose to a 13-month high of 5.4% in March, with YoY change in youth unemployment remaining positive (barring LNY distortions) since the definition change. Critically, the weakness is structural:
 - Export strength is concentrated in capital-intensive, higher-value-added sectors with limited job spillover.
 - Most labor-intensive domestic sectors – led by construction and derivative services – remain in a prolonged adjustment.
- **AI diffusion adds a medium-term headwind:** As a form of skill-biased technical change, AI displaces entry-level or even medium-level cognitive work. Labor market for fresh/recent graduates will likely remain loose, particularly given 12-13mn new entrants each year.
- **Social welfare reform is advancing only incrementally:** Beijing will likely maintain a supply-centric policy framework – as evidenced in the Five-Year Plan – which limits fiscal space for demand-side support/transfers. Without a meaningful pivot toward strengthening social protection, precautionary savings will stay elevated and private spending will remain in a slow lane.

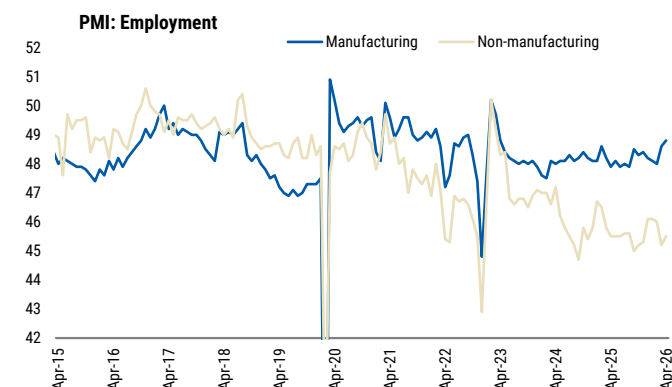
Investment presents a mixed picture: We forecast real growth of gross fixed asset formation to rebound to 3.5% in 2026 from 2% in 2025. The key drivers would be booming AI capex, policy support for infrastructure, and export-driven capex in select manufacturing sectors. Manufacturing investment is stabilizing but divergent, and property remains a persistent but slightly milder drag.

- **Infrastructure capex will likely accelerate modestly with carryover of quasi-fiscal funding:** The newly planned RMB800bn in policy-based financing instruments, together with RMB500bn carried over from 2H25 – largely unused owing to a lack of eligible projects – should more than offset the continued decline

in local government land revenue. At the same time, the front-loading and launch of key national strategic projects under the 15th Five-Year Plan helps alleviate the project pipeline bottleneck that constrained infrastructure spending last year.

- **Overall manufacturing capacity consolidation to continue:** Anti-involution policies should continue to cap manufacturing investment upside, following the rapid capacity buildout in 2022-24 that partially offset the housing investment slump. That said, there should be wider divergence across sectors: those with severe excess capacity (e.g., solar) may see capacity utilization improve but are unlikely to add new investment, while sectors where supply and demand are more balanced/tight amid AI- and green transition-related demand (e.g., power equipment) could see investment accelerate.
- **Property investment to remain sluggish in view of weak new starts and land sales:** Years of declining new starts have depleted the construction pipeline, and the weakness has persisted into 2026: new starts fell another 22% YoY and land sale revenues declined 24%, pointing to subdued construction activity in coming quarters. While secondary home sales have shown signs of recovery, the improvement remains localized and narrow, concentrated in select cities and low-lump sum units. We expect broader stabilization across Tier 1 and 2 cities by 2027, but until then, property investment will likely remain sluggish, though incrementally less bad.

Exhibit 5: Structural labor market weakness in non-manufacturing sectors



Source: NBS, Morgan Stanley Research

Exhibit 6: AI diffusion could further weigh on youth employment, which is already at a low starting point



Source: CEIC, Morgan Stanley Research

Exhibit 7:

FAI Breakdown

	Weight	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Overall FAI Growth	100%	5.4%	2.9%	4.9%	5.1%	3.0%	3.2%	-3.8%	3.0%	2.0%
Manufacturing	36%	3.1%	-2.2%	13.5%	9.1%	6.5%	9.2%	0.6%	4.5%	4.0%
Infrastructure	29%	3.3%	3.4%	0.2%	11.5%	8.2%	9.2%	-1.5%	8.0%	4.5%
- Utility	7%	4.5%	17.6%	1.1%	19.3%	23.0%	23.9%	9.1%	8.5%	6.0%
- Transportation, Storage and Postal Service	10%	3.4%	1.4%	1.6%	9.1%	10.5%	5.9%	-1.2%	12.5%	4.9%
- Water Conservancy & Environment Management	12%	2.9%	0.2%	-1.2%	10.3%	0.1%	4.2%	-8.4%	3.5%	3.0%
Property	16%	9.2%	5.0%	5.0%	-8.4%	-8.1%	-10.8%	-17.5%	-11.5%	-10.0%
By Developers	13%	9.9%	7.0%	4.4%	-10.0%	-9.6%	-10.6%	-17.2%	-14.0%	-12.5%
- Land	4%	14.5%	6.7%	-2.1%	-5.7%	-5.9%	-7.7%	-13.7%	-8.0%	-6.0%
- Property excl. Land	8%	7.9%	7.2%	7.4%	-11.8%	-11.3%	-12.0%	-18.9%	-17.2%	-16.3%
Other Related Services	3%	6.5%	-3.0%	7.6%	-1.6%	-2.2%	-11.5%	-18.6%	-2.2%	-1.8%
Others*	18%	7.6%	7.7%	-1.6%	7.0%	1.9%	-2.4%	-4.2%	2.5%	1.2%
SOEs	40%	6.8%	5.3%	2.9%	10.1%	6.4%	5.7%	-2.5%	2.0%	1.2%
Private	60%	4.6%	1.6%	6.1%	2.3%	0.9%	1.6%	-4.7%	3.7%	2.5%

NBS, Morgan Stanley Research (E) estimates

What rapid AI diffusion means for China's economy

China's AI story has entered a new chapter. No longer defined by the question of whether it can compete at the frontier, the debate has shifted to what rapid, broad-based AI diffusion means for growth, jobs, and productivity. The answer is nuanced: there's significant long-run upside, but the near-term path is bumpy.

AI to become China's key productivity engine over the medium term: We estimate that AI could lift China's total factor productivity growth around 3ppt cumulatively over the next decade, with gains skewed toward the latter half of the period as adoption scales and organizational adjustment matures. Combined with AI-related capital expenditure, this could raise the level of potential GDP ~3.5ppt above a no-AI trajectory by 2035. To this end, the 15th Five-Year Plan has institutionalized "AI+" as a national productivity strategy – explicitly linking digital upgrading to the target of maintaining faster labor-productivity growth than GDP expansion.

But its near-term net contributions to headline growth will likely remain muted: For 2026-27, the primary growth impulse stems from an AI capex expansion cycle in computing infrastructure, data centers, and energy, estimated to add 0.2-0.3ppt to annual real GDP growth. But early productivity gains will remain narrow – concentrated in knowledge-intensive activities rather than generating an economy-wide boost – and the positives will be largely offset by transitional labor market frictions.

Transitional job disruption risk in focus: While China's aggregate job exposure to AI is structurally lower than that of the US, it masks meaningful risks. Against a backdrop of weak corporate earnings, firms are more likely to deploy AI as a tool to cut costs rather than enhance output in the near term, accelerating labor substitution ahead of new job creation. The displacement is broad-based: generative AI is displacing junior white-collar roles, agentic AI is encroaching on mid-level professional functions, and physical AI – from delivery drones to autonomous vehicles – threatens the labor-intensive service sector, which has been the primary absorber of employment losses in recent years.

Policy mitigation to be calibrated, not blanket: As Beijing seeks to narrow the gap with global peers in Gen-AI adoption among higher-end, knowledge-intensive white-collar roles, it may grant firms greater flexibility in labor adjustment to accelerate diffusion and productivity gains. By contrast, in areas where China is already near the technological frontier – such as AI-enabled delivery drones and autonomous driving – and where adoption directly affects large pools of service-sector employment, policymakers are likely to proceed more cautiously. Concrete mitigation measures are expected to be articulated later in 2026-27, including expanded job reskilling support, broader social insurance coverage for gig and flexible workers, and more calibrated automation in labor-intensive sectors.

Bottom line: The path of AI diffusion in China follows the historical J-curve of transformative technologies – near-term adjustment costs precede sustained productivity gains. The risk is that, in a weak demand environment, displacement effects materialize faster than complementarity effects and new job creation, forming a negative feedback loop that exacerbates deflationary pressures and constrains the very corporate earnings needed to fund further AI investment. How well Beijing manages this transition – balancing technological acceleration with labor market stability – will determine whether China could capture AI's long-run structural dividend on schedule.

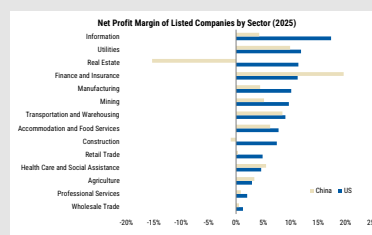
For more details, please read [China AI 2.0 – Entering a New Phase \(10 May 2026\)](#).

Exhibit 8: AI's impact on China's GDP growth: near-term neutral, long-term positive



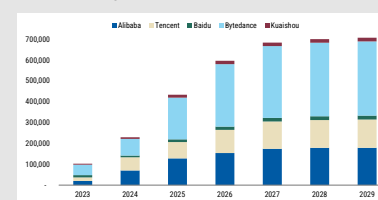
Source: CEIC, Morgan Stanley Research estimates

Exhibit 10: Yet China's weak starting point of corporate earnings...



Source: Factset, Morgan Stanley Research

Exhibit 9: Hyperscalers to step up AI-related capex significantly in next two years



Source: Company data, Morgan Stanley Research estimates.

Exhibit 11: ...suggests that near-term AI-induced labor replacement risks should not be underestimated



Source: Morgan Stanley Research

Reflation: More Imported Than Organic

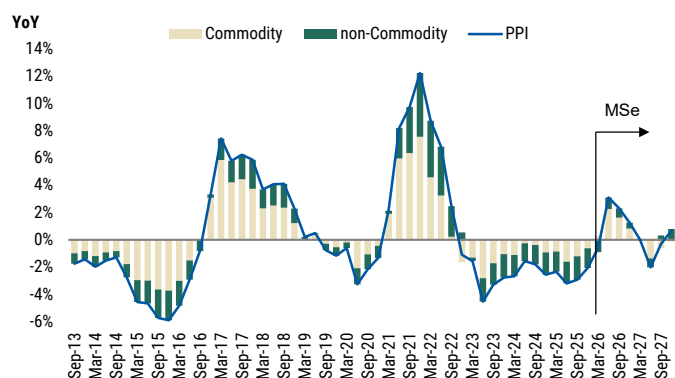
Inflation is rising, but endogenous reflation momentum remains thin: Higher energy costs and demand tied to AI and the green transition lift PPI to 1.5% in 2026 (from -2.6% in 2025; previous forecast: 1.2%), but pass-through to core consumer prices remains limited: weak domestic demand and a soft labor market constrain downstream pricing power. Headline CPI should average 0.8%Y, with core CPI at 1.1%Y on a shallow moderating path. As energy effects fade, inflation is expected to soften again in 2027 (PPI - 0.4%, CPI 0.6%), underscoring the absence of a fully self-sustaining demand-price loop.

Besides PPI, we also upgrade the GDP deflator: We raise our 2026 GDP deflator forecast 0.3ppt, to 0.5%, reflecting real demand that was stronger than previously assumed via exports, rather than systemic improvement in underlying pricing dynamics. The gap between GDP deflator and headline inflation is the key diagnostic: when an economy pays more for imported inputs, headline CPI and PPI register higher, but domestically produced value-added, as captured by the deflator, is compressed by the negative terms of trade shock. Nominal income growth underperforms headline inflation, and real wages may actually decline. True reflation requires the opposite.

Imported inflation can break deflationary expectations, but eventually needs to be validated by demand: In principle, externally driven price increases can disrupt entrenched deflationary psychology and encourage firms and households to adjust pricing and spending behavior. But for this to become self-sustaining, cost pressures must be accompanied by demand recovery, policy support that offsets the real income drag, and (critically) transmission into wages. Without these conditions, the inflation impulse is likely temporary and may ultimately even be disinflationary, compressing margins, weakening real incomes, and dampening activity even after the initial shock fades.

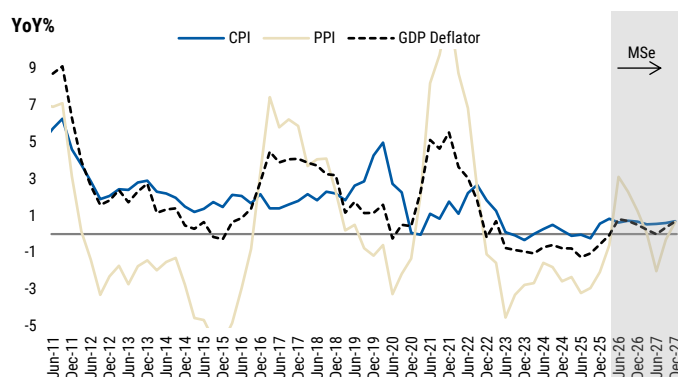
True reflation hinges on two swing factors – the scale of the energy shock and the policy response: In a constructive scenario, a contained rise in energy prices combined with more forceful demand-side support would induce a broader reflation dynamic, lifting expectations while cushioning real incomes. In a downside scenario, a large and persistent shock paired with insufficient policy support would act as a tax on both firms and households, making the initial inflation uptick self-limiting. On balance, the evidence so far slightly tilts to reflation being imported rather than organic. [April inflation](#) data suggest an intensified cost push, yet downstream demand remains relatively narrow, mainly anchored by AI. That said, China's policy space and low starting point mean that the window remains open for converting it into something more durable.

Exhibit 12: PPI will be lifted by higher energy costs and AI-related demand in 2026 – but should soften again in 2027 as energy effects subside



Source: NBS, Morgan Stanley Research estimates

Exhibit 13: Pass-through to core consumer prices remains limited



Source: NBS, Morgan Stanley Research estimates

How Japan leveraged imported inflation for a clear escape from deflation

Japan's exit from deflation reflects several forces finally moving in the same direction.

Imported inflation was the initial catalyst that broke the deflationary mindset... The yen depreciated sharply (from ~105 per dollar in 2020 to ~140 by late 2022) amid coordinated policy easing. Combined with pandemic-era supply-chain disruptions, this pushed import prices sharply higher, forcing a reassessment of Japan's long-standing social norm of "no price hikes, no wage hikes."

...triggered by coordinated policy easing: While the Fed and other major central banks tightened aggressively in response to post-pandemic inflation, the Bank of Japan stayed accommodative even as US rates hit a 23-year high, preventing premature tightening of domestic financial conditions. In November 2023, the government rolled out the "Comprehensive Economic Package for a Complete Exit from Deflation," combining tax cuts, subsidies for productivity-enhancing domestic investment, and targeted support for households facing higher prices – helping anchor the expectation that inflation would persist rather than fade.

A virtuous (nominal) wage-price cycle finally emerged: Empirical evidence shows that pass-through from prices to wages strengthened from 1Q23, while wage-to-price pass-through became visible for the first time in 3Q23 – channels that were largely dormant in the early 2010s. The turning point was confirmed in March 2024, when annual wage negotiations at large Japanese firms resulted in a 5.85% average pay increase, the largest in 31 years.

Despite this progress, the job is not finished: While yen depreciation has boosted corporate profits, which then enabled higher wage growth in the corporate sector, real wage growth still lags. It first registered negative growth in 2022 and 2023, before recovering to sub-1% in 2025 (high YoY in 2024 due to base effect). Stronger real wage growth will complete the virtuous cycle – robust real growth amid sustained healthy inflation.

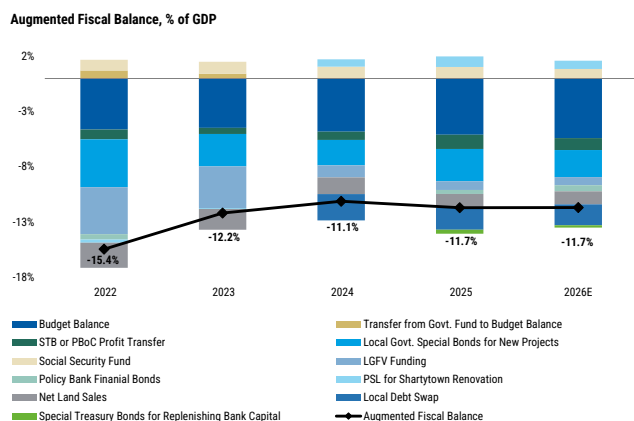
Policy on Cruise Control

No additional policy easing in sight: Under Beijing's "cushioning, not lifting" policy approach, the upbeat 1Q26 GDP (5%) and export resilience through the oil shock have likely reduced the urgency for fresh stimulus. The [April Politburo meeting](#) highlighted "targeted and effective" policy support and urged prompt rollout of "shovel-ready" infrastructure projects, implying continued budget front-loading but a low likelihood of fiscal top-ups or policy rate cuts for the remainder of the year.

We thus expect the augmented fiscal deficit to stay flat at 11.7% of GDP this year, as set at the March NPC, and remove our previous call of additional monetary easing (10bps rate cut and 25bps RRR cut) in 2H26. Instead, policymakers will likely lean more on liquidity operations and quasi-fiscal tools (such as PBoC targeted relending and PSL) to support the economy.

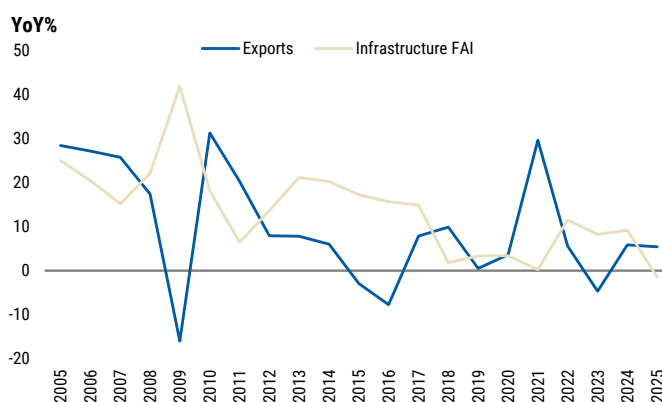
Geopolitical tensions reinforce a supply-centric policy bias, delaying rebalancing: As it is, the [2026–30 Five-Year Plan](#) has affirmed a tech-led, supply-centric path, while a consumption push remains qualitative and non-binding. Recent geopolitical tensions have reinforced the importance to ensure energy security and tech self-sufficiency, and thus will likely lead to continued capital allocation toward strategic sectors. On the other hand, policy support for consumption and social welfare reforms would remain gradual and calibrated. No meaningful housing support is in sight, as Beijing has been steadily shifting its growth drivers from property and infrastructure towards tech and supply chain. We thus believe policymakers would only guard against an uncontrolled slide while allowing necessary price adjustment to run its course.

Exhibit 14: Augmented fiscal deficit will likely stay flat at 11.7% of GDP this year; no supplementary budget in 2H

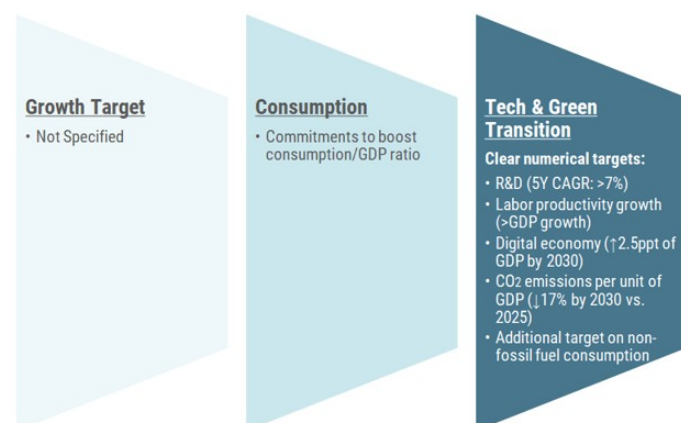


Source: CEIC, Wind, Morgan Stanley Research estimates

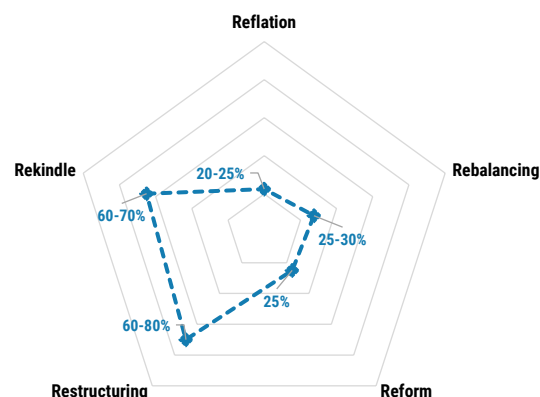
Exhibit 15: Export resilience will likely reduce urgency for additional countercyclical infrastructure push



Source: CEIC, Morgan Stanley Research estimates.

Exhibit 16: Five-Year Plan remains supply-centric

Source: NPC, Morgan Stanley Research

Exhibit 17: Economic rebalancing at a calibrated pace

Source: Morgan Stanley Research estimates

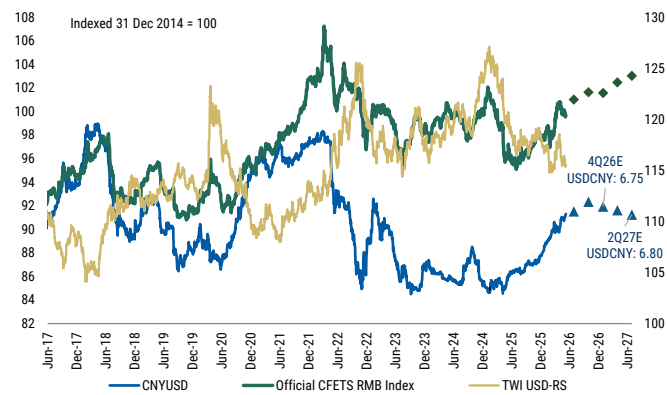
RMB outlook: mild appreciation ahead

Understanding the PBoC's RMB management framework: The strong RMB performance since 4Q25 has sparked market speculation about the PBoC's endorsement of sustained currency appreciation. In our view, the YTD RMB strength largely reflects a catch-up from last year's underperformance amid export resilience – China's trade surplus hit a record high in 2025 despite US tariffs. Now that RMB CFETS has returned to its long-term trend-line, we believe the PBoC may allow a modest appreciation if export outperformance continues. But a sharp rise beyond the fundamentally supported level appears unlikely: we believe that the PBOC remains mindful of still soft domestic demand and price dynamics, and is unlikely to deploy currency appreciation as the primary tool to address structural growth imbalances. This means that USDCNY would remain more of a function of broader dollar moves.

Forecast – modest RMB CFETS upside, USDCNY reaching 6.75 by end-2026: We see room for another 3-4% appreciation in RMB CFETS towards end-2027, backed by China's supply chain competitiveness amid the rise of Asia's industrial super-cycle, led by AI-related investment and energy transition. That said, the movement in USDCNY will largely mirror the dollar trend. Our global FX team expects the trade-weighted dollar to soften towards year end as oil-driven risk aversion fades, before rebounding in 1H27 as US growth outperforms (our US economics team expects US real GDP growth to rise from 2.2% in 2026 to 2.5% in 2027).

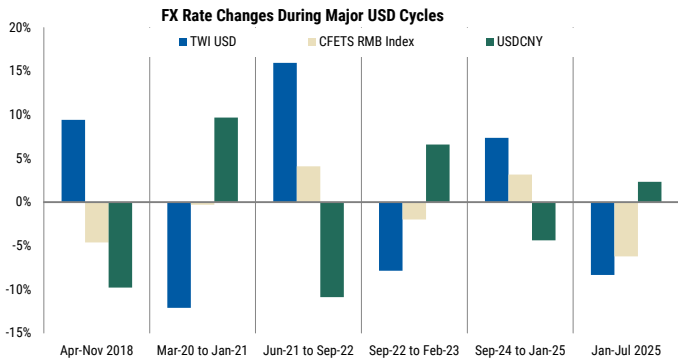
- Accordingly, we revise our USDCNY forecast to 6.75 by end-2026 (prior: 7.00), and see scope for a near-term shift toward 6.70, followed by a modest reversal to ~6.80 by mid-2027.

Exhibit 18: Modest CFETS upside, USDCNY a function of USD moves



Source: Bloomberg, Morgan Stanley Research estimates

Exhibit 19: How PBoC managed RMB moves in the past



Source: Bloomberg, Morgan Stanley Research

Risks to Watch

As mentioned previously, our base case assumption is that China could withstand a sizable yet not extreme oil shock and gain export market share in select sectors, but that domestic demand would remain subdued given limited wage pass-through from exports, oil-induced downstream margin pressures, and a continued supply-centric policy bias.

Against this backdrop, we view the external environment and domestic policy direction as the two key swing factors in this baseline two-speed economy.

Upside scenario: better external demand, more consumption-centric policy

Stronger global demand creates space for economic rebalancing... In this scenario, we assume a stronger-than-expected recovery in global demand led by the US, resulting in a broad-based improvement in China's exports. Firmer external demand would lift industrial capacity utilization and enhance export pricing power. More importantly, this would ease policymakers' pressure to achieve the 4.5–5% GDP target, creating room to reallocate policy resources from capex toward household consumption and social welfare, especially amid rising concerns over AI-driven labor market disruptions.

...supporting more sustained improvement in GDP growth and inflation: We expect real GDP growth to reach 5.2% in 2026 and 5.0% in 2027. Stronger fiscal supports to household consumption and social safety net would help reduce precautionary savings, translating into stronger final demand and thus corporate earnings improvement beyond upstream sectors. This would feed through to better labor income dynamics and reinforce consumption growth, forming a more self-sustaining demand cycle. In turn, both CPI and PPI would remain positive through 2027, with the GDP deflator turning durably positive and nominal growth outpacing real growth.

Downside scenario: oil-induced global recession

A more severe oil shock to trigger global demand destruction: In this scenario, we assume that oil prices exceed US\$150/bbl and remain elevated for several months, as renewed geopolitical escalation would halt oil supply through the Strait of Hormuz for longer. Such extreme energy prices would sharply compress household purchasing power and corporate margins globally, triggering a synchronized slowdown in consumption and manufacturing. Supply chains—particularly for energy-intensive goods—would also be severely disrupted. Global growth would stabilize only as oil prices gradually retreat toward US\$80/bbl by mid-2027.

We thus see slower GDP growth and renewed deflationary pressures in China: In turn, China's GDP growth would slow to 4.3% in 2026 before normalizing to 4.5% in 2027. Oil shock would affect China beyond a terms of trade hit, with weaker exports (the main growth driver for the economy), deeper downstream margin compression, and spillover to weaker employment, wage growth, and consumption. These, combined with lower capacity utilization, would weaken China's endogenous inflation drivers, sending the economy back to deflation in 2027 after a brief oil-driven price uptick. In response, Beijing would likely step up cyclical easing through a combination of fiscal support and

accommodative monetary policy. But the impact would be limited by a reactive and largely supply-centric policy mix, leaving growth and reflation outcomes meaningfully weaker than in the base case.

Appendix: Forecast Summary Tables

Exhibit 20: Summary of key macro indicators

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
GDP (Nominal, RMB, bn)	100,587	103,487	117,382	123,403	129,427	134,807	140,188	147,757	155,239
Nominal GDP Growth (% YoY)	7.5	2.9	13.4	5.1	4.9	4.2	4.0	5.4	5.1
Real GDP Growth (% YoY)	6.1	2.4	8.6	3.1	5.4	5.0	5.0	4.8	4.7
Household Consumption	6.1	-1.9	12.7	1.6	8.8	5.3	4.5	3.7	4.0
Government Consumption	7.0	3.8	3.6	5.2	7.2	1.4	4.9	4.5	4.0
GFCF	5.5	3.6	2.5	3.5	4.5	2.5	2.0	3.5	2.9
Inventory	-52.5	80.4	90.9	-12.4	-35.9	28.4	0.8	5.0	0.0
Goods & Service Exports	1.0	3.5	24.8	-1.6	4.3	15.9	10.8	6.6	8.9
Goods & Service Imports	-2.8	-0.4	18.4	-4.3	9.3	10.3	2.4	3.5	3.9
Contribution to Growth (ppt)									
Household Consumption	2.4	-0.8	4.6	0.6	3.4	2.1	1.8	1.5	1.6
Government Consumption	1.2	0.7	0.6	0.9	1.2	0.2	0.8	0.7	0.7
Gross Capital Formation	1.8	1.8	1.7	1.2	1.4	1.1	0.8	1.3	1.0
Net Exports	0.7	0.7	1.7	0.4	-0.6	1.5	1.6	1.3	1.5
Inflation (% YoY)									
GDP Deflator	1.3	0.6	4.4	2.1	-0.5	-0.8	-0.9	0.5	0.3
CPI	2.9	2.5	0.9	2.0	0.2	0.2	0.1	0.8	0.6
Core CPI	1.6	0.8	0.8	0.9	0.7	0.5	0.8	1.1	0.8
PPI	-0.3	-1.8	8.1	4.2	-3.0	-2.2	-2.6	1.5	-0.4
Key Policy Variables									
Augmented Fiscal Balance, % of GDP	-13.9	-19.8	-12.1	-15.4	-12.2	-11.1	-11.7	-11.7	-11.7
7-day Reverse Repo Rate	2.50	2.20	2.20	2.00	1.80	1.50	1.40	1.40	1.40
Financial Indicators									
M2	8.7	10.1	9.0	11.8	9.7	7.3	8.5	8.2	8.0
Broad Credit Growth*	11.1	13.4	10.5	9.7	10.0	8.3	8.5	8.0	7.8
USD/CNY Exchange Rate (eop)	6.96	6.53	6.36	6.90	7.10	7.30	6.99	6.75	6.75
Current Account Balance, % of GDP	0.6	1.5	1.6	2.2	1.4	2.4	3.8	3.2	4.3

Source: CEIC, Morgan Stanley Research estimates (E) *Official TSF - equity financing

Exhibit 21: Quarterly forecasts

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E
Real GDP Growth																				
YoY%	5.3	4.7	4.6	5.4	5.4	5.2	4.8	4.5	5.0	4.7	4.8	4.9	4.7	4.8	4.8	4.6	5.0	5.0	4.8	4.7
QoQ% SAAR	5.3	4.1	5.7	6.6	4.5	4.5	4.5	4.9	5.3	3.2	4.4	5.5	5.1	4.4	4.1	4.1				
GDP Component, YoY%																				
Private Consumption	8.4	4.8	3.1	4.4	5.3	5.2	3.8	3.6	3.1	3.5	3.8	3.9	4.3	3.9	4.0	4.0	5.3	4.5	3.7	4.0
Government Consumption	0.6	3.4	0.9	-0.4	1.3	5.6	8.1	6.5	3.7	5.5	4.8	4.6	3.8	4.2	4.6	3.8	1.4	4.9	4.5	4.0
Gross Capital Formation	2.4	4.2	2.7	3.1	2.0	2.8	1.8	1.7	8.0	4.3	2.1	2.0	0.6	2.6	3.3	3.4	2.9	2.0	3.5	2.8
GDP Deflator, YoY%	-1.1	-0.7	-0.6	-0.8	-0.8	-1.3	-1.0	-0.6	-0.1	0.9	0.7	0.5	0.2	0.0	0.4	0.7	-0.8	-0.9	0.5	0.3
CPI Inflation, YoY%	0.0	0.3	0.5	0.2	-0.1	0.0	-0.2	0.6	0.8	0.8	0.7	0.7	0.5	0.6	0.6	0.7	0.2	0.1	0.8	0.6
Core	0.7	0.6	0.3	0.3	0.3	0.6	0.9	1.2	1.2	1.2	1.1	0.9	0.8	0.8	0.9	0.9	0.5	0.8	1.1	0.8
Food	-3.2	-2.3	2.0	1.1	-1.4	-0.3	-3.4	-0.5	0.4	-2.3	-1.5	-1.1	-1.0	0.2	0.4	0.4	-0.6	-1.4	-1.1	0.0
Fuel	1.0	6.3	-1.7	-7.5	-2.5	-11.3	-7.4	-7.0	-5.3	13.7	10.8	9.6	5.5	-6.0	-7.7	-5.9	-0.5	-7.0	7.2	-3.5
PPI Inflation, YoY%	-2.7	-1.6	-1.8	-2.6	-2.3	-3.2	-2.9	-2.1	-0.6	3.1	2.3	1.3	0.0	-2.0	-0.3	0.7	-2.2	-2.6	1.5	-0.4
7D Reverse Repo Rate*	1.80	1.80	1.50	1.50	1.50	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.50	1.40	1.40	1.40
USDCNY*	7.22	7.27	7.02	7.30	7.26	7.16	7.12	6.99	6.89	6.78	6.72	6.75	6.77	6.80	6.77	6.75	7.30	6.99	6.75	6.75

Source: CEIC, Morgan Stanley Research estimates (E) *End of Period

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